

Investing is hard and often humbling. We are regularly reminded that we must remain intellectually open, constantly learning, and focused on calibrating a multitude of potential opportunities to ensure that each dollar entrusted to us is hard at work. As we have slowly grown our client base over time, we think about how any new partner might behave in difficult times. We seek only those partners who truly have a multidecade view. If you own a very concentrated portfolio of companies as we do, and don't short or hedge, you are guaranteed to have significant volatility in your returns; there is no way around it. Warren Buffett has famously written about having his net worth cut in half three times in his life; Ben Graham reportedly nearly went broke twice. As we write, in the fall of 2022, we are going through one of these very painful drawdowns. A truly long-term view is the only way we know of to look past near-term business performance and short-term share price volatility and to make actionable estimates of value five years from now. Investing with a deep fundamental understanding of each business, a tightly aligned group of partners, and not using leverage are the key ingredients needed to get through these periods. It's crucial to remember that no business grows in a straight line. What might look like obvious rewards from owning successful businesses today were nonetheless tested more than once with periods of anxiety, uncertainty, and stress along the way. The investors we admire most have an even temperament that means not getting too excited in the good times, or too downtrodden and emotional in the tough times. They have the patience and discipline to swing only at pitches they are comfortable with, they have done the work to ride out often unpopular views, and perhaps most important, they all possess a deep sense of optimism that each day the next great investment is out there waiting to be discovered.